Domestic Judicialization: Tariffs, Courts, and the Future of International Trade

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Abstract

Tariff rulings during the second Trump administration have fundamentally shifted where and how trade policy is negotiated and judicialized. As a result, U.S. federal courts are emerging as arbiters of international trade, displacing international tribunals. Courts have always mattered as endogenous constraints, but now they matter in a qualitatively different way. Specifically, domestic judicialization of trade introduces layered judicial review, doctrinal instability, and temporal uncertainty. In response, foreign governments and firms now anticipate U.S. judicial timelines, amplify domestic-law arguments in international complaints, and condition concessions on statutory provisions durable enough to withstand domestic judicial review. Paradoxically, the stabilizing force of judicial oversight—once thought to enhance credibility—introduces new layers of uncertainty that complicate international cooperation. The article proceeds in four steps. First, it revisits how conventional studies on trade politics split international and domestic adjudication. Second, it shows how new forms of uncertainty shape bargaining and the design of trade commitments. Third, it situates these changes in long-run U.S. constitutional realignments and recent doctrinal innovations—from the Major Questions Doctrine to the erosion of Chevron deference. Finally, it sketches a research agenda that treats courts as autonomous, multi-level veto players in global economic governance.

1 Introduction

On April 2, 2025, President Trump's "Liberation Day" announcement detonated a new U.S. trade regime. Issued under the emergency authority granted by the International Emergency Economic Powers Act (IEEPA), Trump imposed a 10% baseline tariff on imports from nearly all countries and layered on country-specific "reciprocal" rates that range from 10% to 50% on average (Burkhart and Hammond, 2025). The shock waves were immediate, and the reactions swift: domestic producers, foreign sellers, business associations, and state governments all raced to court. Within less than a year, the policy has already run the full escalator of U.S. judicial review: the Court of International Trade (CIT) struck down core parts of the IEEPA tariff program in May 2025. The Federal Circuit temporarily kept the tariffs alive while appeals proceeded and then, in August, held en banc that IEEPA does not authorize sweeping, open-ended "reciprocal" tariffs. The Supreme Court heard arguments in the consolidated case in November. With a ruling expected in early 2026 and potentially over a trillion dollar repayment on the line, these tariff policies have become a live test of how far executive trade power can stretch, as well as how quickly domestic judges can unwind it.[1]

For decades, scholars of international politics have treated judicialization in trade as a largely international phenomenon. The paradigmatic case is the World Trade Organization's (WTO) dispute settlement system, which provided a centralized forum with compulsory jurisdiction, legalized remedies, and relatively stable authority, where uncertainty concerns case outcomes rather than the court's own institutional foundations (Busch and Reinhardt, 2000; Steinberg, 2002; Davis, 2012). Differentiation within the WTO, such as panels versus the Appellate Body, invited theorizing about precedent, compliance, and case selection (Bown, 2010; Pauwelyn, 2023). Domestic courts, in contrast, have appeared in trade theories primarily as commitment devices within executive–legislative bargaining: namely, as mechanisms through which governments tie their hands at home to enhance credibility abroad. (Putnam, 1988; Simmons, 2000; Mansfield and Milner, 2012; Davis, 2012).[2] This article

[1] U.S. Government Brief in *Trump v. V.O.S. Selections, Inc.*, No. 24-1287 (U.S. Sup. Ct. Sept. 19, 2025).

[2] Beyond the focus on the WTO, domestic courts are playing increasingly salient roles in international political economy. For instance, in international investment, firms lobby to embed enforcement outside of domestic courts via arbitration clauses or treaties like the New York Convention (cf. Elkins, Guzman and Simmons, 2006; Allee and Peinhardt, 2010). Similarly, in international human rights, litigation in U.S. domestic courts under the Alien Torts Statute has all but

argues that this division no longer holds. Instead, as the WTO's ability to resolve trade disputes significantly curtailed and major shifts in U.S. legal doctrines, we argue that a new paradigm of *domestic judicialization* has emerged, with U.S. federal courts established as the most important arbiters of international trade.

Following recent legal developments in the United States, trade disputes now unfold through a multi-tier judicial pipeline that foreign governments and firms actively anticipate and strategically navigate. Tariff litigation proceeds sequentially through the CIT, the Court of Appeals for the Federal Circuit, and, ultimately, the Supreme Court. Each level of the court system has distinct control over the timing, remedies, and legal framing. Merits rulings, administrative stays, remands without vacatur, and shadow-docket signals collectively generate successive bargaining moments rather than a singular "shadow of the law" (Steinberg, 2002). Instead, courts introduce layered, time-structured uncertainty that reshapes negotiation strategies as litigation progresses.

As a result, courts – even in democratic contexts – can increase uncertainty during trade negotiations (Mansfield, Milner and Pevehouse, 2008): trade disputes now intersect with rapidly changing domestic public law jurisprudence, including constitutional debates and shifting doctrines such as the Major Questions Doctrine (MQD), the erosion of Chevron deference, and revived non-delegation claims render the President's tariff authority less predictable. This form of uncertainty induced by domestic judicialization differs fundamentally from uncertainty in international courts. Although international adjudicators face contested compliance and political backlash, they do not operate amid rapid, unresolved transformations in their own constitutional authority. Under domestic judicialization, national negotiators adjust to each layer of judicial review, pricing in appellate calendars, remedial risk, and the durability of statutory authorization under evolving doctrines. Concessions are conditioned on whether commitments can survive Major-Questions scrutiny, whether interim relief will be stayed, and whether adverse rulings will trigger refunds or retaliation. Domestic courts thus emerge as autonomous, sequential veto players whose interventions structure bargaining across time.

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stalled after a string of U.S. Supreme Court decisions (cf. Simmons, 2009; Conrad and Ritter, 2019).

This article proceeds as follows. Section 2 explains why this change has occurred, situating it in long-term shifts in trade governance and doctrinal realignments in U.S. public law. Section 3 maps the anatomy of trade judicialization by showing how legal, procedural, actor-based, and forum-related uncertainties now structure negotiations and disputes. Section 4 draws attention to how these recent changes demand a reorientation of our understanding of legal institutional design, both at the international and domestic levels. Section 5 discusses several new approaches to embed domestic courts more fully into the study of international political economy. Section 6 considers whether this new phenomenon of domestic judicialization is here to stay, and Section 7 concludes.

2 The Domestic Shift of Trade Adjudication

The recent prominence of U.S. federal courts in international trade politics is not the product of a single shock. Instead, it reflects the convergence of long-term structural transformations in global trade governance with more recent doctrinal and political changes in U.S. public law. Structural drift gradually redirected enforcement from Geneva back toward domestic venues, while doctrinal innovation suddenly equipped courts with new tools to police presidential tariff powers. Together, these forces explain both the timing and intensity of the current judicial turn.

One structural pressure is the weakening of multilateral adjudication. For two decades, the WTO's Dispute Settlement Understanding (DSU) provided the archetype of legalized enforcement. Its design—compulsory jurisdiction, negative consensus for adoption, and legalized remedies—ensured that legal mobilization could shift bargaining power (Busch and Pelc, 2010). The Appellate Body developed a record of precedent and compliance that encouraged IR scholars to model WTO dispute settlement as an "active" court shaping state behavior (Bown, 2010). That system entered paralysis in December 2019, after the United States under the first Trump Administration blocked the (re)appointment of Appellate Body members, leaving the body without the minimum three judges required to hear appeals. U.S. objections centered on claims of judicial overreach, unfavorable interpretations, and the alleged departure of the Appellate Body from its mandate. These criticisms intensified as the court accumulated precedent and exercised increasing authority over sensitive trade

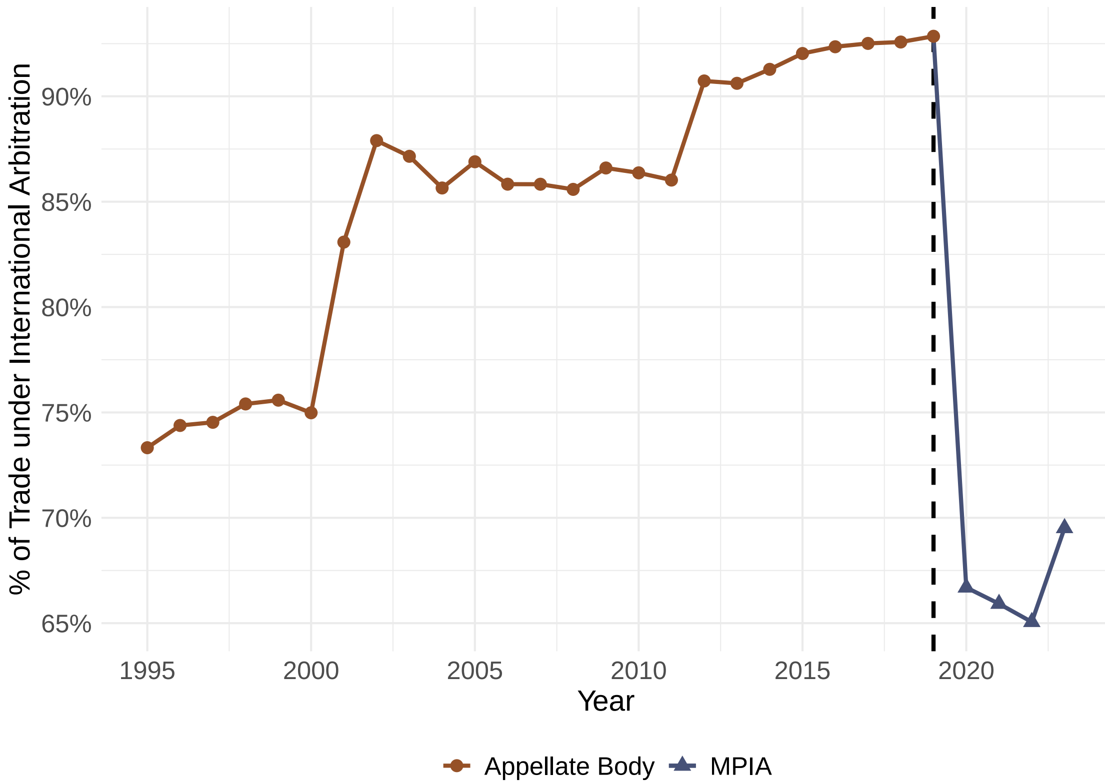

Figure 1: Percentage of bilateral trade disputable at the WTO, 1995-2023. Calculated using the Altas of Economic Complexity dataset (Hausmann et al., 2014). The vertical dashed line indicate when the WTO's Appellate Body became dysfunctional by Dec. 2019. Trade between two countries are considered disputable at the Appellate Body when both countries are members of the WTO, and at the MPIA when both countries have voluntarily joined the mechanism.

policy questions. Ironically, the very features that made the Appellate Body effective—dense jurisprudence, consistency, and autonomy—also made it politically vulnerable. After 25 years of sustained legalization, appellate review became a casualty of its own success. The collapse of the Appellate Body not only suspended dispute settlement, but also reallocated adjudicatory authority away from Geneva and reopened space for national courts to reassert themselves as sites of trade enforcement (Pauwelyn, 2019; Van den Bossche, 2021).

The collapse of the WTO Appellate Body created institutional openings for alternative forms of appellate review. One such forum is international, emerging within the WTO itself. In response to the paralysis of the Appellate Body, a coalition of members established the Multi-Party Interim Appeal

Arbitration Arrangement (MPIA) in April 2020. The MPIA provides a stand-in appellate mechanism through arbitration under Article 25 of the DSU, allowing participating members to obtain binding appellate review despite the Appellate Body's inactivity (Pauwelyn, 2023; Pelc, 2024). Crucially, however, the MPIA is voluntary, applies only when both disputing parties opt in, and excludes the United States. As a result, appellate review at the WTO is now bifurcated: disputes may be appealed "into the void," preventing legal finality, or resolved through the MPIA, producing binding outcomes. This bifurcation generates heterogeneous forum-shopping incentives and uneven litigation leverage across disputes and actors.Despite its legal ingenuity, the MPIA has not restored the systemic role once played by the Appellate Body. Its coverage remains limited, participation sparse, and usage low. As Figure 1 shows, the percentage of international trade disputable at the international level is now at an all-time low since the foundation of the WTO. Even among the members of the MPIA, participation in the MPIA remains limited: In Figure 2, we plot the number of filings received by the Appellate Body and the MPIA over time. Since the establishment of the MPIA in April 2020, only four cases have been appealed. In practice, Geneva's authority has eroded rather than been reconstituted, resulting in a redistribution of the adjudicatory relevance away from the multilateral system.

Compared to the mixed results produced by the MPIA experiment, the more consequential response to the collapse of the WTO appellate review has occurred outside Geneva: in national courts. As we argue, the turn to vertically multi-layered domestic adjudication reflects both the vacuum left by weakened international enforcement and the growing instability of trade authority itself. When international adjudication no longer delivers legal finality, litigants redirect claims toward domestic venues that can impose binding remedies. In the United States, this shift has elevated federal courts – from the Court of International Trade to the Federal Circuit and ultimately the Supreme Court – into central sites of trade governance, with distinctive procedural powers, remedial tools, and timelines that governments and firms, foreign and domestic, must now anticipate.

This domestic turn is reinforced by a second, independent structural shift in the U.S. constitutional allocation of trade powers. For much of American history, tariffs were treated as an Article I congressional prerogative. Over the 20th century, however, trade authority migrated toward the

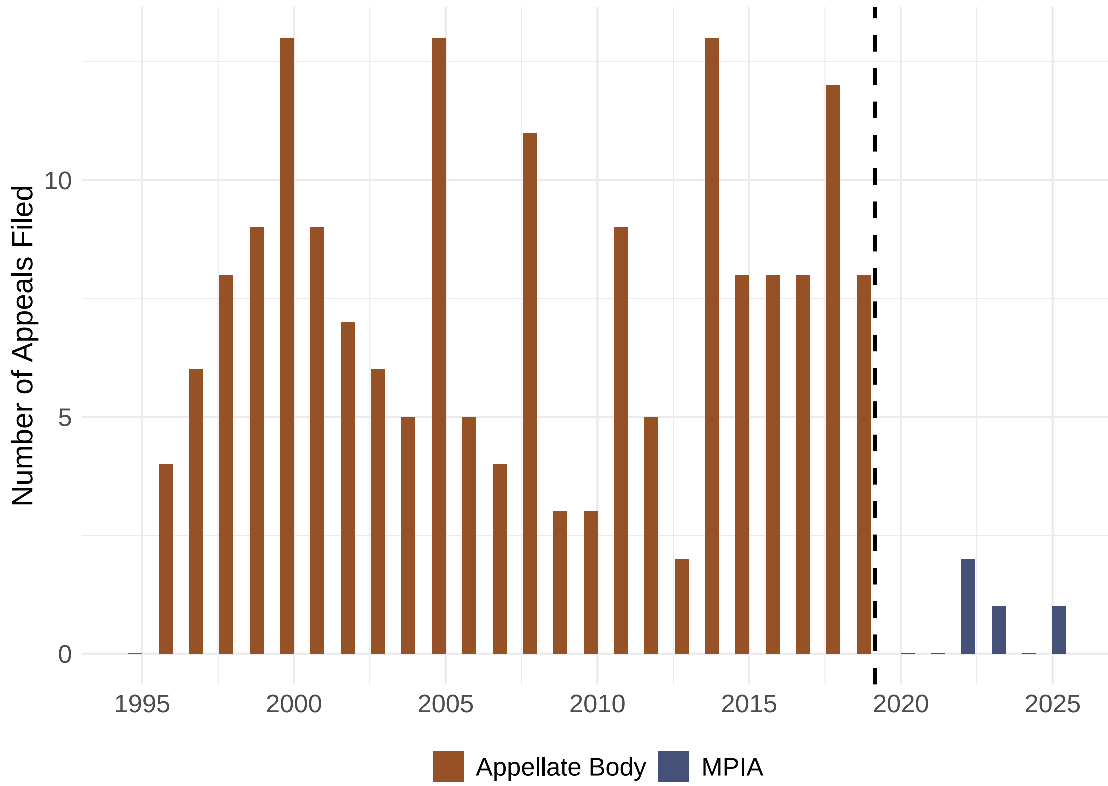

Figure 2: The number of trade dispute appeals send to the WTO's dispute settlement bodies, 1995-2025. The vertical dashed line indicate when the WTO's Appellate Body became dysfunctional by Dec. 2019. We exclude all appeals filed to the WTO but were later withdrawn, lapsed or settled elsewhere.

executive, framed increasingly as a component of foreign relations and national security (Claussen, 2018; Meyer and Sitaraman, 2019). Statutes such as Section 301 and the IEEPA supplied the legal basis for unilateral presidential action. Politically, this constitutional realignment expanded the president's win-set at the international table while marginalizing Congress as a domestic veto player (Putnam, 1988; Mansfield, Milner and Rosendorff, 2000). Paradoxically, as the Supreme Court has embraced the unitary executive theory and revived doctrines limiting delegation—weakening Chevron and embedding the MQD in public law—judges have simultaneously gained greater latitude to police the scope of executive trade powers. What once appeared to be a secure statutory foundation under IEEPA and Section 301 is now vulnerable to textualist audits. In other words, this doctrinal inflection points to amplified judicial salience.

The political coalitions that deploy these doctrines have also diversified. Once championed mainly by conservative litigants, MQD and non-delegation arguments are now pressed across the ideological spectrum. Progressive amici in tariff cases contend that global duties, given their sweeping economic significance, require unmistakable statutory clarity before any delegation is valid. Sub-national governments have joined as well. Eleven U.S. states recently sued under IEEPA, asserting both statutory and constitutional limits on presidential trade authority. This episode illustrates a form of "economic paradiplomacy" that pulls state governments into international disputes, echoing earlier examples in climate diplomacy and environmental policy (Nijman, 2004; Slaughter, 2004).

The legal timeline helps explain why these dynamics crystallized in the mid-2020s. The erosion of multilateral adjudication had created a vacuum. In addition, since the first Trump administration, the US has leaned heavily on tariffs as unilateral instruments of foreign economic statecraft. Finally, the Supreme Court's jurisprudence provided new doctrinal levers—MQD, non-delegation, post-Chevron review—that litigants could use to challenge presidential action. These forces converged to elevate courts from background enforcement to the forefront of trade politics. The permanence of this change has not yet been determined. If the WTO dispute system remains paralyzed and the Supreme Court continues to apply doctrines such as MQD to foreign-economic actions, domestic judicialization is likely to persist. If, by contrast, the multilateral system recovers appellate capacity and courts retreat from scrutinizing presidential trade powers, the prominence of U.S. courts may prove more transient. In theory, judicialization will endure so long as three conditions hold: executives rely on unilateral tariffs, courts retain doctrinal tools to review them, and foreign counterparts incorporate judicial timelines and remedies into their bargaining strategies.

3 An Anatomy of Domestic Judicialization

The shifting forum of judicialization introduces four interlocking layers of uncertainty—legal, procedural, actor-based, and forum-related—that jointly affect trade negotiations and disputes. The framework below retains the historical context that initially channeled disputes to Geneva and explains how those channels have reversed.

3.1 Legal Uncertainty

Legal uncertainty arises less from abstract doctrinal flux than from the way in which unsettled doctrines actively reallocate authority across institutions. Historically, the GATT/WTO framework centralized review in Geneva: tariff bindings under the Harmonized System constrained national flexibility and increased the vulnerability of anti-dumping and countervailing duties (Davis, 2012). The institutional design of the courts reinforced that channeling. The binational panel system in the 1989 U.S.–Canada Free Trade diverted Canadian exporters from the CIT (Jackson, 1997). Earlier investment treaties often required exhaustion of local remedies; while later models – such as India's 2015 Model BIT – waived exhaustion to fast-track arbitration (Salacuse, 2021). These arrangements left presidential trade authority largely insulated from domestic judicial recalibration.

That insulation is unraveling. In 2025, the Federal Circuit, sitting *en banc*, invoked the Major Questions Doctrine to stay lower-court rulings that limited the president's use of IEEPA tariffs. This landmark ruling illustrated how a doctrine forged in domestic administrative law is now used to directly structure foreign-economic cases. MQD is a recent, judicially constructed doctrine that conditions government action of "vast economic and political significance" on clear congressional authorization. The doctrine has been used to invalidate major domestic initiatives, including the Biden administration's climate regulations and the student-loan forgiveness program, which involved roughly \$ 500 billion in expected fiscal effects.[3] The tariff cases involve sums that are potentially greater in magnitude, underscoring why courts have increasingly treated trade measures as candidates for major-questions scrutiny rather than routine exercises of delegated authority. Whether MQD applies in these domains remains contested (Bradley and Goldsmith, 2023; Eichensehr and Hathaway, 2023): at least one Supreme Court justice has suggested that national-security and foreign-affairs actions may fall outside the doctrine's reach, a question that surfaced explicitly during oral argument in the tariff cases.[4] At the same time, the erosion of Chevron deference narrows the interpretive space of

[3] *New York Times*, "A Major Question in the Tariffs Case: The 'Major Questions Doctrine'", Nov. 5, 2025.

[4] This was in Justice Kavanaugh's concurring opinion in *FCC v. Consumers' Research*, 606 U.S. 656 (2025).

agencies (Sunstein, 2018), while revived non-delegation arguments expose entire categories of tariff authority to potential invalidation.

3.2 Procedural Uncertainty

Procedural uncertainty stems from judicial control over timing and remedies. "Technical" dispositions have distributive bite: As of August 2025, American businesses have paid more than hundreds of billion under the new tariffs. If the Supreme Court ruled or deferred to the appeals court's ruling that Trump's tariffs during his second term are illegal, the Federal Government may face the stark reality of re-paying those dollars in full. Moreover, remand without vacatur keeps tariffs in place while compelling agencies to re-justify them, shifting leverage domestically and internationally.

Timing choices amplify these effects. The V.O.S. Selections ruling in August 2025 captured this dynamic: the Federal Circuit struck down the tariffs on the merits, narrowed the remedy, and stayed its own decision pending Supreme Court review—an unusual sequencing that turned timing and relief into bargaining variables in their own right. Each judicial tier—district courts, the CIT, the Federal Circuit, and the Supreme Court—adds bargaining junctures. The Federal Circuit's en banc sitting on reciprocal tariffs drew rare national media attention for trade litigation, highlighting how calendars themselves generate audience costs in downstream policy negotiations (Chaudoin, 2014).

Lastly, vertical fragmentation and contestation within the judiciary add further frictions to the litigation process. The Supreme Court's 2025 *Trump v. Casa* decision curtailed nationwide injunctions: in so doing, it shifted remedial power upward, weakened district courts, and reinforced the Supreme Court's gatekeeping role. To be sure, vertical judicial contestation has always existed, but it is now more visible and intense, driven in part by the increasing reliance of the Supreme Court on emergency shadow-docket rulings that leave lower courts with little guidance. Judge Allison Burroughs remarked in 2025 that such interim orders "appear to set [precedent] aside without much explanation or consensus," underscoring how opaque directives destabilize lower-court decision-making.[5]

[5] District of Massachusetts. *President and Fellows of Harvard College et al. v. United States Department of Health and Human Services et al.* (Harvard College case), Civil Action No. 25-cv-11048-ADB, Memorandum and Order of Burroughs, J., September 3, 2025, note 9.

The confrontation between Judge William Young and Justices Gorsuch and Kavanaugh—followed by Young's public apology and Justice Breyer's unusual defense—brought this vertical friction squarely into the open.[6] The judicial hierarchy , in other words, is now fractured into an unsettled relationship among trial, appellate, and supreme courts.

3.3 Actor-Based Uncertainty

Actor-based uncertainty follows from a reshuffled litigant and judicial mix. Historically, access costs confined international adjudication to multinationals or resourceful individuals able to lobby governments and WTO bureaucracies (Brutger, 2024) or restructure investments to trigger investment law protections (Betz, Pond and Yin, 2021), with theoretical works confirming big-firm dominance (Bernard et al., 2018; Kim and Osgood, 2019). For example, in 2011, Philip Morris, a U.S. multinational tobacco company, sued the Australian government for passing the Tobacco Plain Packaging Act. The claim arises not from Philip Morris' headquarter in the US, as the US and Australia have not ratified any binding investment treaties. Instead, it comes from the company's subsidiary in Hong Kong, a region with which Australia concluded an investment treaty back in 1993. Notably, the subsidiary was acquired shortly before Philip Morris initiated an investor-state dispute, in order to retroactively take advantage of the investment treaty.

Domestic judicialization lowers these thresholds: in 2025, small and medium enterprises (SMEs) mobilized en masse in Section 301 and IEEPA suits to target state and federal governments in the U.S., moving tariff contests from Geneva to U.S. trial and appellate dockets. In addition, the composition of litigants has also changed. Sub-national governments have now entered the fray as well, with eleven states suing under IEEPA and challenging presidential tariff authority and unsettling the assumption of federal exclusivity in trade.

[6] *Reuters*. "Judge accused by Gorsuch, Kavanaugh of defying US Supreme Court apologizes." September 2, 2025; *New York Times*. "Justice Breyer Defends Judge Accused of Defying Supreme Court Order." September 6., 2025

3.4 Forum-Related Uncertainty

Lastly, forum-related uncertainty arises from the interaction between domestic and international adjudication. For long, this interaction has received little attention, which results from the asymmetry of international judicial salience and domestic judicial obsolescence. WTO disputes are centralized and cross-nationally comparable; domestic trade litigation is fragmented across tiers and doctrines, making comparative research costlier and less visible. WTO remedies map onto bargaining leverage more cleanly than domestic judicial remedies, which look technocratic even when distributively significant. The result was a stylized world in which the WTO is modeled as an agenda-setting court, whereas domestic courts fade into the background. In light of the Appellate Body crisis and the 2025 tariff rulings, this split under-theorizes how domestic hierarchies and standards of review filter trade policy and interact with international adjudication (Hoekman and Mavroidis, 2021; Pauwelyn and Pelc, 2022; Pelc, 2024).

In sum, domestic judicialization introduces unique uncertainties in the trade policy making process. Negotiators must expect judicial intervention both ex ante and ex post. Doctrines like MQD circumscribe the menu of credible commitments. Procedural calendars determine when legal leverage peaks. SMEs and sub-national governments expand the litigant set. And overlapping fora complicate strategies. Domestic courts thus emerge as autonomous veto players, reshaping both the credibility and content of trade deals.

4 New Developments Under Domestic Judicialization

The rise of domestic judicialization carries significant implications for the way scholars of international politics study the practice of trade negotiation. For instance, it requires re-evaluating how two-level games operate, how institutions are now negotiated and designed under a qualitatively different form of uncertainty, and how forum choice functions in a hybrid legal order. In the following, we connect some of the emerging factual patterns into dialog with both canonical and frontier arguments in international law and international political economy.

First, courts must now be modeled as veto players in the two-level game (Putnam, 1988; Tsebelis, 2002). Executives no longer bargain solely with legislatures or interest groups in mind; they also anticipate judicial review. Tariff schedules, sunset clauses, and national-security exceptions are drafted with MQD durability and post-Chevron textual precision in view. Credibility hinges not only on the presence of checks and balances, but also on their location within the judicial system. Whether constraints lie in the executive, legislative, or judicial branch; and whether each level of courts appears aligned with the executive's policy stance, now simultaneously shape perceptions of negotiation predictability in the eyes' of foreign negotiators.

Docket-level signals prove this point. More than 4,000 importer suits challenging Trump's Section 301 duties have been filed to the CIT and are pending lead-case appeals in the Federal Circuit and the Supreme Court. In response, foreign negotiators have already built U.S. judicial timelines into their strategy. Within five weeks of the CIT's spring rulings, the European Union announced a €95-billion contingency list and threatened a new WTO filing; EU officials also privately described the decisions as strengthening their hand by exposing fissures inside the United States.[7]

Second, the legal uncertainties created by domestic judicialization have reshaped institutional designs. Negotiators now front-load clarity, preferring statutory anchors to executive agreements and tariff-rate quotas with mandatory reviews to open-ended discretion. Some agreements include "off-ramps" that allow adjustment in the event of adverse rulings, reducing the risk of uncontrolled retaliation (Pelc, 2016). Within the U.S., a growing strand of scholarship argues that perceived judicial supremacy in recent constitutional and administrative law cases could provoke counter-mobilization to pare back courts' role—via democratizing reforms or outright jurisdiction stripping (Doerfler and Moyn, 2021). In parallel, others contend that the modern Court's dominance rests on a contested institutional settlement rather than constitutional inevitability, and they urge moving beyond the origin myth of *Marbury v. Madison* (Bowie and Renan, 2021). These critiques have migrated from scholarship to politics. As a direct rebuke to *Trump v. United States* (2024), where the Court described presidential immunity as extending to an "exclusive sphere of constitutional authority", U.S. Senate leaders introduced the *No Kings Act of 2024* (S. 4973) to reassert Congressional power over criminal

[7] *Reuters*. "EU sets out possible 95-billion-euro response to US tariffs." May 8th, 2025; *Reuters*. "EU gains leverage in trade talks as US court casts doubt on tariffs, EU officials say", May 30th, 2025.

proceedings involving the president or vice president. In particular, the bill included a jurisdiction stripping clause, invoking Congress's Article III power to make "exceptions and regulations" to the Supreme Court's appellate jurisdiction (U.S. Const. art. III, § 2, cl. 2). Whether jurisdiction stripping would increasingly become a tool to countervail the power of the judiciary, including in trade related cases, remains to be seen.

Third, the disaggregation of actors amplifies audience costs. SMEs and state governments have joined litigation, broadening the domestic audience for trade disputes. Appellate calendars and procedural stays intersect visibly with negotiation milestones, such as when the Federal Circuit synchronized its administrative stay with the Supreme Court's calendar. This procedural visibility creates audience costs that constrain executive bargaining power (Chaudoin, 2014). Intra-judicial conflicts, such as trial-level merits rulings versus appellate remedial minimalism, or shadow-docket orders provoking frustration from lower courts, introduce additional legal complexity that foreign negotiators must factor into their strategies. Furthermore, in the United States—where trade disputes move from specialized agencies to the CIT and then to the Federal Circuit under statute-specific standards of review—the vertical interaction among judicial tiers now strikes at the heart of executive-centered narratives of trade policy.

Lastly, forum choice now unfolds in a hybrid environment. With Geneva's appellate system only partially functional, larger economies hedge their bets: they file WTO cases for signaling and coalition-building while leveraging U.S. court rulings in parallel. For instance, as President Trump announced and later imposed "Liberation Day" tariffs in 2025, UK officials debated accession and then joined the WTO's interim appeals arrangement (MPIA), explicitly framing the move as support for a rules-based trading order amid Appellate Body paralysis.[8] Similarly, China has continued with existing and advanced new WTO disputes (e.g., WTO DS638), hedging across fora while U.S. appeals unfold. In contrast, developing countries, facing higher costs of domestic mobilization, may instead withdraw from litigation and rely more heavily on diplomacy or selective retaliation (Hoekman and Mavroidis, 2021). The result is a more fragmented and strategically layered system of trade adjudi-

[8] *UK Parliment*. Question for Department for Business and Trade. UIN 34548, tabled on Feb. 27th 2025; *Reuters*. "UK joins WTO trade arbitration alternative." Jun. 5th, 2025.

cation.

5 Domestic Judicialization and the Future of Trade Politics

The rise of domestic judicialization in trade politics calls for a systematic research agenda that integrates courts within the study of international political economy. Rather than treating judges as passive arbiters of statutory text, future work should analyze them as strategic actors whose choices alter the credibility, timing, and design of trade commitments. Several directions stand out at different levels of analysis, ranging from states and firms to judges and public opinions. The following menu of future research maps out several frontiers of trade politics research.

5.1 States' Reaction Towards Domestic Judicialization

The interaction between international and domestic legal fora now becomes more salient. Researchers can measure overlapping constraints by combining country-year indicators of domestic trade-case justiciability with data on WTO participation and usage. Such data would allow estimates of whether international signaling and domestic litigation can jointly reduce tariff volatility or increase trade and investment relative to agreements safeguarded by only a single layer of adjudication (Martin, 2000; Mansfield and Milner, 2012; Davis and Wilf, 2017). In addition, it should be investigated whether international coalitions can be mobilized at the domestic level. Studies have shown that countries that voluntarily join the MPIA process show a stronger commitment to international enforcement and a rule-based process (Pauwelyn, 2023; Pelc, 2024). Despite the U.S. non-participation during WTO reform negotiations, it may still be exposed to such reform efforts if countries jointly participating in the MPIA are also jointly mobilized in its domestic courts.

Relatedly, the increased importance of domestic courts in resolving trade disputes calls into question whether they serve as a complement or substitute to other functional international fora, such as PTAs. For long, scholars debated the effect of overlapping international jurisdictions: while some argue that PTA and WTO systems largely nest rather than compete (Beyer, 2021), others suggest that overlapping institutions empower strategic forum shopping (Busch, 2007). As U.S. courts are replacing the WTO in adjudicating U.S. trade policies, examining the temporal trend of how international and domestic litigation have been used before and after the Appellate Body crisis speaks to whether overlapping jurisdictions complement or substitute each other in dispute resolution.

Finally, domestic judicialization also creates new dynamics in bloc politics. On the one hand, as countries question the U.S. commitment towards free trade, they begin to adjust their trade network to mitigate future exposures to trade-related risks. Part of this strategy involves finding new partners to diversify their trade portfolio, expanding the traditional boundaries of trade "blocs" (Fajgelbaum and Khandelwal, 2022; Davis and Ma, Working paper). Identifying how blocs expand, which country joins which blocs, and whether the expansion of blocs follows the line of regime types, alliances, or economic cooperation becomes of crucial importance (Mohr and Trebesch, 2025). On the other hand, as new clusters of trade form and congeal, intra-bloc trade becomes increasingly deepened relative to inter-bloc flows. Therefore, the interaction between judicial review and geoeconomic alignment has also increased in salience. U.S.-aligned partners may demand statute-anchored deals robust to major-questions scrutiny, while others may privilege international fora for insulation. Linking bloc membership to tariff exposures in each industry would make it possible to test whether industries embedded in U.S. versus China-centered blocs adopt distinct litigation and negotiation strategies (Becko, Grossman and Helpman, 2025).

5.2 Firms' Participation in Domestic Litigation

Firm-level mobilization in domestic courts is on the rise. Recent studies have shown that firms within the same sector often mobilize together and make demands for economic protections (Johns and Wellhausen, 2016; Baccini, Osgood and Weymouth, 2019). As value chains extend beyond countries' borders, the boundaries between domestic and foreign lobbying also become blurred: domestic firms now advocate on behalf of their foreign partners, claiming that economic harms are transmitted throughout the value chain (Zhang, 2023). By mobilizing domestic SMEs to participate in trade litigation, domestic judicialization further amplifies the sector-based coalition building process. Comparing SMEs and MNEs litigants across sectors and litigation behaviors would allow tests of how firm characteristics affect legal outcomes such as tariff relief and negotiated exemptions.

In addition to their connection with domestic firms, the role of foreign firms as domestic litigants also deserves increasing attention. It is well-documented that foreign firms lobby to influence U.S. politicians and international bureaucrats (Kim, 2017; Brutger, 2024; Thrall, 2024). Moreover, non-U.S. firms have increasingly filed or financed tariff suits in U.S. courts. Tracking when and why they choose this venue instead of, or in parallel with, international channels reveals whether foreign litigants reshape U.S. judicial receptivity and bargaining leverage (Osgood, 2016). Scholars could also compare litigation-plus-lobbying bundles with pure lobbying strategies to evaluate how different combinations of tools affect policy outcomes (Betz, Pond and Yin, 2021). By simultaneously constraining the policy responses the U.S. government can make both during international negotiations and in domestic judicialization, this fast-growing group of firm actors is altering the two-level game in ways not yet captured by existing theories (Howse, 2016; Salacuse, 2021).

5.3 Judge-level Variations in Domestic Judicialization

Another consequence of domestic judicialization is that scholars now need to treat judges as strategic veto players. While judges may anticipate political backlash and preemptively impose certain degrees of self-restraint (Clark, 2009; Madsen et al., 2022), their actions nevertheless result in marked differences in case-level outcomes. Theoretically, judges choose how, not whether, to intervene: they may narrow precedents, rely on procedural throttles, or issue preliminary stays that could freeze billions in duties and shift bargaining leverage abroad. Empirically, there exists a rich, meaningful variation between judges and their trade decisions.[9] Recent judge-level studies show that in U.S. courts that hear trade cases, ideology, panel composition, timing, and assignment process measurably shape case outcomes (Beim and Kastellec, 2014; Cohen, 2023). For domestic judicialization of trade disputes, this means that as parties move away from a paralyzed WTO toward domestic venues, they need to price in court-specific costs – which are now much more idiosyncratic and opaque – when shopping

[9] For instance, different CIT panels reached opposite conclusions on similar and closely related timing and authority questions: the court struck down the Turkey-specific tariff increase in *Transpacific Steel LLC v. United States* (later reversed by the Federal Circuit) but upheld the core 2018 steel tariffs in *USP Holdings v. United States* (affirmed on appeal).

for forums, anticipating rulings, and deciding whether to settle earlier.

Thus, rather than abstract away from judicial activism, researchers are now in need of granular data at the individual judge level, in order to model judicial capacity as a variable and test whether legitimacy concerns modulate trade-court influence or fundamentally cap it. Building judge and case-level datasets for the CIT and the Federal Circuit — such as partisanship, panel composition, opinion length, citation to MQD, grant rates of temporary restraining orders and stays, use of remand without vacatur, and the timing of decisions relative to negotiation events — would make it possible to test when courts expand or contract the menu of policies available in international bargaining (Epstein and Knight, 1997).

5.4 Public Opinions on Domestic Judicialization

Finally, more attention can also be paid to potential legal spillovers and backlash. The backlash could come from different actors (De Vries, Hobolt and Walter, 2021). By channeling their grievances to the U.S. government through electoral and economic pressures, concentrated losers in international trade succeeded in paralyzing the WTO Appellate Body (Walter, 2021). As President Trump and pundits intensify their attacks on lower courts over their tariff rulings, similar coalitions could emerge to target U.S. trade courts or the judiciary generally.[10] Meanwhile, compared to international adjudication, rulings made by domestic courts could turn what is now a loose group of cross-cutting beneficiaries of trade into pockets of losers, who may become incentivized to defend them. Keeping track of the amicus patterns of NGOs and industries thus helps to detect when courts are subject to curbing campaigns and when they are shielded by broader constituencies (Voeten, 2020). A further question is whether executive backlash against judicial decisions operates as an interactive process, with courts themselves exercising self-restraint when confronted with claims of international economic necessity, as in the Gold Clauses cases of the 1930s (Edwards, 2018).

In summary, these avenues suggest that judicialization is not an anomaly of U.S. trade politics but a global research frontier. By embedding courts into the architecture of international political econ-

[10] *BBC*. "Trump appeals to US Supreme Court to rule on legality of tariffs." Sept. 3, 2025.

omy—across domestic, international, and bloc levels—future work can generate richer, temporally sensitive theories of how law structures trade relations.

6 Is Domestic Judicialization Here to Stay?

Is the shift to domestic judicialization a transient phenomenon rooted in idiosyncratic policies, or are we witnessing the beginning of a new equilibrium in trade disputes? Although it is too early to reach any definitive conclusions, we draw inspiration from recent studies to make two conjectures. First, the sharp spike in trade uncertainty created by recent tariff rulings will gradually subside. As more trade disputes are brought to U.S. courts and more rulings are made, each dispute case clarifies the interpretation of trade-related domestic law, delineates each party's powers, rights, and obligations. Similarly to the argument that the frequency of complaints in the WTO declines as a result of learning by ruling (Maggi and Staiger, 2011), the emergence of domestic legal patterns also mitigates the sudden frenzies brought about by recent litigation. As domestic precedents accumulate, parties are increasingly bargaining "in the shadow of the law", settling or adjusting policies before further legal escalations. However, at the same time, the accumulation of domestic legal precedents also constricts the space of trade judicialization. In an extreme scenario, should the US courts consistently rule against trade partners, the process of domestic judicialization will also become unsustainable in the long term.

Second, while the frequency of domestic trade litigation may subside as precedents build, we expect domestic courts to remain the main channel of trade litigation in the long term. On the one hand, the blockade of international litigation remains indefinite. The continued refusal to participate in any form of WTO dispute settlement—institutional or interim—by the United States reflects a domestic bipartisan convergence over trade unilateralism (Pelc, 2024). The WTO litigation process now resembles more a signaling device for antagonistic resolve than an enforcement mechanism. In 2019, one year before the full-blown Appellate Body crisis, more than 40% of complaints against the U.S. were sent by U.S. allies. Since 2020, however, only non-allies have brought legal challenges against the

U.S.[11] Meanwhile, new actors who favor domestic courts or find them more accessible have become mobilized. Joining the ranks of Chinese state-owned enterprises is now a pool of state governments and SMEs (Li, 2024), all seeking to strategically mobilize legal forums as tools to advance broader political and economic agendas. This simultaneously thickens the constituency for U.S. judicial venues, lowers the practical "exit costs" from Geneva, and entrenches a domestic-litigation equilibrium even if the WTO's appellate function recovers.

7 Conclusion

This paper argues that domestic courts have moved from background enforcement to front-stage constraint in U.S. trade policy. The combination of multilateral drift, executive reliance on tariffs, and new doctrinal limits on delegation has made the CIT and the Federal Circuit calendars central to international bargaining. Foreign counterparts now negotiate in anticipation of judicial review, SMEs and subnational government have become regular litigants, and forum choice has become a hybrid of Geneva signaling and New York enforcement. The key question is not whether courts matter, but how: whether judicialization will constrain protectionist surges, channel them into legally durable bargains, or simply redirect conflict into new venues. What is clear is that, in the immediate future, studies of trade law and politics must abandon the black-box assumption of a unitary court and examine judicialized trade as a three-player game among the President, Congress, and courts.

With the Supreme Court fast-tracking the tariff cases, the stakes of this paper will be tested in real time. Four issues in particular should be tracked. First, how the Court interprets the tariff statutes and defines presidential authority, including whether it articulates any intelligible limiting principle. Second, whether the Court invokes the MQD or leans on non-delegation. Third, the standard of review it applies to agency action. And fourth, the remedies it chooses: remand without vacatur, vacatur, stays, retroactivity, refunds, or broad injunctions. Regardless, the core insights of this article remain

[11] Specifically, between 2018 and 2019, 6 disputes (EU: DS548, DS577; South Korea: DS546; DS539; Norway: DS552; Turkey: DS564) out of 13 disputes (China: DS543, DS544, DS562; India: DS547; Russia: DS554; Switzerland: DS556; Vietnam: DS536) cases against the U.S. were led by U.S. allies. Since 2020, the 4 cases against the U.S. were all led by non-allies (Hong Kong: DS597; China: DS615, DS623; Argentina: DS617).

relevant: domestic courts now shape bargaining and mobilization in trade policy. The accumulation of sector-specific precedent encourages earlier settlement and substitution across venues. Bloc politics continues to push for diversification of trade ties and legal strategies even when the WTO is a weak outside option. The ruling may adjust the doctrinal levers at the margin,[12] but it will not reverse the domestic turn in judicialization that now structures how trade conflicts begin, evolve, and end.

[12] *Financial Times*. "Donald Trump expected to impose new levies if Supreme Court strikes down tariffs." Dec. 30th, 2025.

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